

Q.1 Sec. 64 tax credit for profit on debt of the ITO 2001 for the tax year 2026 has been omitted by:

- A. Finance Act 2016
- B. Finance Act 2015
- C. Finance Act 2014
- D. Finance Act 2017**

Q.2 Which of the following is the rate of tax for Mr. Zia, who has earned a basic salary of Rs. 1,850,000 and a medical allowance of Rs. 150,000 during the tax year 2026?

- A. Rs. 6,000 plus 11% of the amount exceeding Rs. 1,200,000**
- B. 1% of the amount exceeding Rs. 600,000
- C. Rs. 90,000 plus 20% of the amount exceeding Rs. 1,200,000
- D. Rs. 195,000 plus 17.5% of the amount exceeding Rs. 2,500,000

Q.3 As per clause 13(iii) of part 1 of the second schedule, if FBR approves the gratuity fund for the tax year 2026, the amount of fund exempted up to Rs. 300,000 and any amount exceeding it will be taxed under which of the following heads?

- A. Capital Gain
- B. Income from Other Sources**
- C. Income from Salary
- D. Income from Business

Q.4 Which of the following is the rate of tax for Mr. Zee, who has earned a basic salary of Rs. 850,000, utilities of Rs. 200,000 and fees of Rs. 200,000 during the tax year 2026?

- A. 1% of the amount exceeding Rs. 600,000
- B. Rs. 180,000 plus 25% of the amount exceeding Rs. 2,200,000
- C. Rs. 6,000 plus 11% of the amount exceeding Rs. 1,200,000**
- D. Rs. 30,000 plus 15% of the amount exceeding Rs. 1,200,000

Q.5 What is the tax treatment of the voluntary payments made to the employee?

- A. Wholly Exempt
- B. Not mentioned in Income Tax Ordinance 2001
- C. Wholly Taxable**
- D. Partly Taxable

Q.6 Mr. Aamir, a salaried person, has a taxable income of Rs. 20,000,000 for the tax year 2026. What will be his tax liability? (Tax Slab: Rs. 616,000 plus 35% of the amount exceeding Rs. 4,100,000)

- A. Rs. 20,220,000
- B. Rs. 6,181,000**
- C. Rs. 15,000,000
- D. Rs. 8,090,000

Q.7 Mr. A earned a basic salary of Rs. 300,000, a commission of Rs. 200,000 and a bonus of Rs. 100,000 during the year. Which of the following is the tax liability of Mr. A for the tax year 2026?

- A. Rs. 22,000
 - B. Rs. 20,000
 - C. Rs. 0**
 - D. Rs. 12,500
-

Q.8 What is the tax treatment of the overtime payments received by the employee?

- A. Wholly Taxable**
 - B. Wholly Exempt
 - C. Not mentioned in Income Tax Ordinance 2001
 - D. Partly Taxable
-

Q.9 The tax rebate for the tax year 2026, provided to the teacher of the research institute duly recognized by HEC, is:

- A. 45%
 - B. 25%
 - C. 75%
 - D. No more available**
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Q.10 Depreciation is allowed as admissible deduction from business income if depreciable asset has life of _____.

- A. More than one year**
 - B. Five months
 - C. Three months
 - D. One month
-

Q.1 What is the tax treatment of the leave encashment on the retirement of the employee?

- A. Wholly exempt
 - B. Partly Taxable**
 - C. Not mentioned in Income Tax Ordinance 2001
 - D. Wholly Taxable
-

Q.2 MTS stands for which of the following?

- A. Minimum transfer Salary
 - B. Maximum transfer Salary
 - C. Minimum time scale**
 - D. Maximum time scale
-

Q.3 Which of the following deduction is allowed in computing income chargeable under the head "Income from Business"?

- A. Any personal expenditure
 - B. Expenditure incurred by an amalgamated company
 - C. Any entertainment expenditure
 - D. Brokerage expenditure**
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Q.4 Mr. A earned a basic salary of Rs. 800,000 and an overtime payment of Rs. 150,000 during the year. Which of the following is the tax liability of Mr. A for the tax year 2026? (Tax Slab: 1% of the amount exceeding Rs. 600,000)

- A. Rs. 3,500**
 - B. Rs. 52,500
 - C. Rs. 20,000
 - D. Rs. 10,000
-

Q.5 Mr. Aqeel earned a basic salary of Rs. 450,000 and utilities of Rs. 100,000 during the year. Which of the following is the tax liability of Mr. Aqeel for the tax year 2026?

- A. Rs. 2,000
 - B. Rs. 1,000
 - C. Rs. 0**
 - D. Rs. 3,000
-

Q.6 The amount of relief allowed as per sec. 61 of the ITO 2001 to the company is the lesser of the actual amount of donation or _____% of the taxable income for the tax year 2026.

- A. 30%
 - B. 20%
 - C. 25%**
 - D. 15%
-

Q.7 Which of the following transaction does NOT involve a banking channel?

- A. None of the given options
 - B. Online transfer of payment
 - C. Payments through credit card
 - D. Payment through cash**
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Q.8 For the tax year 2026, as per section 21 of the ITO 2001, any salary paid other than by the crossed cheque or direct transfer or through digital means to the employee's bank account, if it exceeds _____ is NOT allowed as deduction under the head Income from Business.

- A. Rs. 15,000 per month
 - B. Rs. 80,000 per annum**
 - C. Rs. 60,000 per year
 - D. Rs. 32,000 per month
-

Q.9 Sec. 64 tax credit for profit on debt of the ITO 2001 for the tax year 2026 has been omitted by:

- A. Finance Act 2016
 - B. Finance Act 2017**
 - C. Finance Act 2015
 - D. Finance Act 2014
-

Q.10 Profit and gains arising out of a speculation business is chargeable to tax under:

- A. Income from Other sources
 - B. Income from Business**
 - C. Income from Capital gains
 - D. Income from Salary
-

Q.1 The tax rebate for the tax year 2026, provided to the teacher of the research institute duly recognized by HEC, is:

- A. 25%
- B. 75%
- C. No more available**
- D. 45%

Q.2 Depreciation rate applied on all types of buildings under section 22 is:

- A. 10%
- B. 3.5%
- C. 0.5%
- D. 5%**

Q.3 The amount of relief allowed as per sec. 61 of the ITO 2001 to the company is the lesser of the actual amount of donation or _____% of the taxable income for the tax year 2026.

- A. 20%
- B. 30%**
- C. 25%
- D. 15%

Q.4 If a depreciable asset disposes off within a tax year then:

- A. Total depreciation deduction allowed
- B. No depreciation deduction allowed**
- C. None of the given options
- D. 25% of depreciation deduction allowed

Q.5 The amount of relief allowed as per sec. 61 of the ITO 2001 to an individual is the lesser of the actual amount of donation or _____% of the taxable income for the tax year 2026.

- A. 25%
- B. 15%
- C. 20%**
- D. 30%

Q.6 As per part I of the third schedule of the Income Tax Ordinance 2001, plant and machinery have a depreciation rate of _____ during the tax year.

- A. 5%
- B. 15%
- C. 25%
- D. 10%**

Q.7 For the tax year 2026, the income earned by a recognized computer training institution is:

- A. Exempt**
 - B. Not treated as income
 - C. Taxable
 - D. Not discussed in the Ordinance
-

Q.8 What is the tax treatment of the voluntary payments made to the employee?

- A. Not mentioned in Income Tax Ordinance 2001
 - B. Wholly Exempt
 - C. Partly Taxable
 - D. Wholly Taxable**
-

Q.9 What is the tax treatment of the reimbursement of expenditure made by the employer?

- A. Wholly exempt
 - B. Partly Taxable
 - C. Wholly Taxable**
 - D. Not mentioned in Income Tax Ordinance 2001
-

Q.1 What is the tax treatment of the reimbursement of expenditure made by the employer?

- A. Partly Taxable
 - B. Wholly exempt**
 - C. Wholly Taxable
 - D. Not mentioned in Income Tax Ordinance 2001
-

Q.2 What is the tax treatment of the leave encashment on retirement to the members of the Armed Forces of Pakistan?

- A. It will be taxed at the rate of 5%
 - B. It will be taxed at the rate of 10%
 - C. It is exempt from tax**
 - D. It will be taxed at the rate of 20%
-

Q.3 Which one of the following parts of the ITO 2001 specifies the rates of depreciation?

- A. Part II of 3rd schedule**
 - B. Part III of 3rd schedule
 - C. Part IV of 1st Schedule
 - D. Part I of 3rd schedule
-

Q.4 Which of the following is not included in definition of business as per sec 2(10) of ITO 2001?

- A. Manufacturing
 - B. Profession**
 - C. Employment
 - D. Commerce
-

Q.5 Mr. A earned a basic salary of Rs. 350,000 and a commission of Rs. 200,000 during the year. Which of the following is the tax liability of Mr. A for the tax year 2026?

- A. Rs. 20,000
 - B. Rs 0**
 - C. Rs. 12,500
 - D. Rs. 25,000
-

Q.6 Mr. A earned a basic salary of Rs. 800,000 and an overtime payment of Rs. 150,000 during the year. Which of the following is the tax liability of Mr. A for the tax year 2026? (Tax Slab: 1% of the amount exceeding Rs. 600,000)

- A. Rs. 10,000
 - B. Rs. 20,000
 - C. Rs. 52,500
 - D. Rs. 3,500**
-

Q.7 As per clause 13(iii) of part 1 of the second schedule, if FBR approves the gratuity fund for the tax year 2026, the amount of fund exempted up to Rs. 300,000 and any amount exceeding it will be taxed under which of the following heads?

- A. Income from Salary
- B. Capital Gain
- C. Income from Other Sources**
- D. Income from Business

Q.8 If a non-salaried individual has a taxable income of Rs. 400,000. What will be the applicable tax rate for the tax year 2026 as per ITO 2001?

- A. 0.5%
- B. 0%**
- C. 1%
- D. 0.25%

Q.9 For the tax year 2026, as per section 21 of the ITO 2001, any salary paid other than by the crossed cheque or direct transfer or through digital means to the employee's bank account, if it exceeds _____ is NOT allowed as deduction under the head Income from Business.

- A. Rs. 80,000 per annum
- B. Rs. 15,000 per month**
- C. Rs. 32,000 per month
- D. Rs. 60,000 per year

Q.10 In computing the income of a person chargeable to tax under the head "Income from Property" for a tax year 2026, a deduction shall be allowed for all of the following expenditures or allowances, EXCEPT:

- A. Ground rent paid or payable by the person
- B. Any tax payable under the Ordinance**
- C. Insurance expenses (premium paid or payable)
- D. Legal expenses in connection with the relevant property

Q.1 Which of the following is not included in definition of business as per sec 2(10) of ITO 2001?

- A. Commerce
- B. Profession
- C. Employment**
- D. Manufacturing

Q.2 Profit earned on debt derived by the person whose business is to derive such income, is chargeable under:

- A. Income from capital gains
- B. Income from other sources
- C. Income from business**
- D. Income from salary

Q.3 Which of the following is the rate of tax for Mr. Zee, who has earned a basic salary of Rs. 6,000,000, a dearness allowance of Rs. 2,000,000 and a conveyance allowance of Rs. 1,000,000 during the tax year 2026?

- A. Rs. 165,000 plus 20% of the amount exceeding Rs. 2,400,000
- B. Rs. 616,000 plus 35% of the amount exceeding Rs. 4,100,000
- C. Rs. 15,000 plus 12.5% of the amount exceeding Rs. 1,200,000
- D. Rs. 405,000 plus 25% of the amount exceeding Rs. 3,600,000**

Q.4 Mr. Khan earned a basic salary of Rs. 900,000, a conveyance allowance of Rs. 200,000 and a cost of living allowance of Rs. 400,000 during the year. Which of the following is his tax liability for the tax year 2026? (Tax Slab: Rs. 6,000 plus 11% of the amount exceeding Rs. 1,200,000)

- A. Rs. 150,000
- B. Rs. 52,500
- C. Rs. 39,000**
- D. Rs. 75,000

Q.5 Profit and gains arising out of a speculation business is chargeable to tax under:

- A. Income from Capital gains
- B. Income from Other sources
- C. Income from Salary
- D. Income from Business**

Q.6 A concessional loan of Rs. 1 million is provided by the employer at a markup of 8% per annum (the benchmark rate for the tax year 2026 is 10% per annum) to a salaried person. What will be the value of the taxable benefit?

- A. Rs. 40,000
- B. Rs. 57,500
- C. Rs. 20,000**
- D. Rs. 60,000

Q.7 In computing the income of a person chargeable to tax under the head "Income from Property" for a tax year 2026, a deduction shall be allowed for all of the following expenditures or allowances, EXCEPT:

- A. Insurance expenses (premium paid or payable)
- B. Legal expenses in connection with the relevant property
- C. Ground rent paid or payable by the person
- D. Any tax payable under the Ordinance**

Q.8 What is the tax treatment of the leave encashment on retirement to the members of the Armed Forces of Pakistan?

- A. It will be taxed at the rate of 10%
- B. It will be taxed at the rate of 5%
- C. It will be taxed at the rate of 20%
- D. It is exempt from tax**

Q.9 Miss Zoya, a salaried person, has a taxable income of Rs. 2,000,000 for the tax year 2026. What will be her tax liability? (Tax Slab: Rs. 6,000 plus 11% of the amount exceeding Rs. 1,200,000)

- A. Rs. 115,000
- B. Rs. 94,000**
- C. Rs. 290,000
- D. Rs. 150,000

Q.10 The commutation of a pension is fully exempt from tax if the pension scheme is approved by the:

- A. Board**
- B. Employer
- C. Income tax officer
- D. Commissioner of income tax

Q.1 Which of the following is/are the deductible allowance from total income of an individual?

- A. Worker's Participation Fund
- B. All of the given options**
- C. Zakat
- D. Worker's Welfare Fund

Q.2 Mr. A having a taxable income of Rs. 600,000 and gross tax liability of Rs. 50,000 during the tax year 2026, donated Rs. 30,000 to the educational institution. What will be the amount of tax credit as per sec. 61 of the ITO 2001 allowed to Mr. A?

- A. Rs. 2,500
- B. Rs. 7,000
- C. Rs. 6,500
- D. Rs. 4,500**

Q.3 What is the tax treatment of the voluntary payments made to the employee?

- A. Partly Taxable
- B. Wholly Taxable**
- C. Not mentioned in Income Tax Ordinance 2001
- D. Wholly Exempt

Q.4 Non-adjustable amounts shall be treated as rent and chargeable to tax, these amounts are spread over a period of

- A. 05 years
- B. 15 years
- C. 10 years**
- D. 20 years

Q.5 Mr. A earned a basic salary of Rs. 300,000, a commission of Rs. 200,000 and a bonus of Rs. 100,000 during the year. Which of the following is the tax liability of Mr. A for the tax year 2026?

- A. Rs. 20,000
- B. Rs. 22,000
- C. Rs. 0**
- D. Rs. 12,500

Q.6 What is the tax treatment of any income derived by the families and dependents of the "Shaheeds" belonging to the Pakistan Armed Forces from the special family pension?

- A. Partially taxable
- B. Fully exempt**
- C. Taxable upto 25% of the pension received
- D. Fully taxable

Q.7 Utilities are not provided by employer to employee, then what is the tax treatment of water and gas bills paid by employee himself?

- A. No specific treatment
 - B. 10% is taxable**
 - C. Wholly taxable
 - D. 10% is exempt
-

Q.8 (A / B) x C In the above formula for calculating tax credit under section 61 of the Income tax Ordinance 2001, B represents which of the following?

- A. Net income of the year
 - B. Amount of relief allowed
 - C. Person's taxable income for the tax year**
 - D. Amount of gross tax
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Q.9 Mr. A is an employee of the Government of Punjab. During the tax year 2026, he received a monthly salary of Rs. 60,000 and a gratuity of Rs. 1,000,000. What would be his taxable income?

- A. Rs. 1,720,000
 - B. Rs. 1,060,000
 - C. Rs. 720,000**
 - D. Rs. 774,000
-

Q.10 In computing the income of a person chargeable to tax under the head "Income from Property" for a tax year 2026, a deduction shall be allowed for all of the following expenditures or allowances, EXCEPT:

- A. Any tax payable under the Ordinance**
 - B. Legal expenses in connection with the relevant property
 - C. Insurance expenses (premium paid or payable)
 - D. Ground rent paid or payable by the person
-

FIN623 Quiz no.4 Solved By vuZs Team(P)

FIN623 QUIZ

SOLVED BY: vuZs Team

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Rechecked by: Eemaan Khan

1-Which of the following is not included in business?

Select correct option:

- a) Commerce
- b) Manufacture
- c) Profession
- d) Employment

Rationale: In employment a person is hired to provide services to a company on a regular basis in exchange for compensation and who does not provide these services as part of an independent business.

2-The rate of income tax for Modarba Company is:

Select correct option:

- a) 20%
- b) 25%
- c) 30%
- d) 35%

Reference: A concessional tax rate of 25% was applied to modaraba as compared to 45% applicable to companies in 1993-1994. Modarabas engaged in trading activities are taxed at a reduced rate of 25% .

3-Any income from a business carried on outside Pakistan through permanent establishment by a resident person belongs to which of the following?

Select correct option:

- a) Pakistani source of Income
- b) Foreign source of income
- c) Both Pakistan and foreign source of income
- d) None of the given option

Reference:Business income of a resident person shall be Pakistan-source income to the extent to which the income is derived from any business carried on in Pakistan.

4-What is the tax treatment of any profit on the US Dollar Bonds purchased by the non-resident person before December 1999 under clause 82 of the Second Schedule?

Select correct option:

- a) Wholly taxable
- b) Wholly exempt
- c) Partly taxable
- d) Not mention in second schedule

5-Officer of Income Tax may grant approval to any gratuity fund.

Select correct option:

- a) True
- b) False

Reference: Commissioner of Income Tax may accord approval to any gratuity fund.

6-Mr. A non-resident person employed in UK received Rs. 500,000 as salary. Which of the following statement true for Mr. A?

- a) Rs. 500,000 will be added in Gross total income being non-resident person
- b) Rs. 500,000 will be subtracted from Gross total income being non-resident person
- c) Rs. 500,000 will be exempt from tax being non resident person
- d) None of the given options

Reference: Where a citizen of Pakistan leaves Pakistan during a tax year and remains abroad during that tax year, any income chargeable under the head "Salary" earned by him outside Pakistan during that year shall be exempt from tax under the Ordinance.

7-Mr. Afzal would like to compute the tax rate apply on the gratuity received the formula to compute the tax rate is.

- a) $A \times B / 100$
- b) $A \times 100 / B$
- c) $A / B \times 100$
- d) $100 \times B / A$

8- 2(59) of Income Tax Ordinance 2001 defined: "shareholder" in relation to a company, includes a modaraba certificate holder, a unit holder of a unit trust and a beneficiary of a trust. In which criteria the above definition falls?

Select correct option:

- a) Exclusive definition
- b) Inclusive definition
- c) Both Exclusive and Inclusive definitions
- d) Statutory definition

Explanation: It includes dictionary meanings as well as meanings conveyed by definition.

9-Formula to compute the tax rate applies on gratuity received, "B" stands for;

Select correct option:

- a) The total tax paid or payable by the employee for the three preceding tax years
- b) The employee's total taxable income for the three preceding tax years
- c) The gratuity received by the employee
- d) None of the given options

10-Mr. Akbar a resident individual received Dividends in Tokyo from a Pakistani resident company. Dividend will be added in his gross total income.

- a) True
- b) False

Reference: See the treatment of this example on page 33 of handouts. Dividends received in Tokyo on 20th Aug 2008 from a Pakistani resident company: amounting Rs. 10,000.

11-Mr. Suleman is an employee of ABC Co. utilities are provided by Company to him for the tax year 2007. What will be the treatment of Utilities as per Income Tax Ordinance 2001 in the tax year 2007?

- a) Utilities paid are added in the salary of Mr. Suleman
- b) Fair market value of Utilities is added in the salary of Mr. Suleman
- c) 10% of Utilities is exempted from tax and remaining amount will be added in the salary of Mr. Suleman
- d) Utilities paid are exempted from Tax

Reference: Up to year 2006, utilities were exempt up to 10% of basic salary. It was omitted by finance bill 2006. Now Fair market value of utilities is added back to the salary of employee and is fully taxable.

12-Any amount shall be foreign-source income if it is paid by:

Select correct option:

- a) Resident person
- b) Non-resident person
- c) Citizen of Pakistan
- d) All of the given options

13-Mr. Ali is an employee of ABC Co. He has availed an interest free loan from his Company. What will be the treatment of Interest on loan as per Income Tax Ordinance 2001?

Select correct option:

- a) Salary of Ali includes the Interest on loan at benchmark rate
- b) Salary of Ali includes the Interest on loan at lower than benchmark rate
- c) Salary of Ali includes the Interest on loan at higher than benchmark rate
- d) Amount of Interest on loan is exempted from Tax

14-Interpretation of Tax Laws is the prime responsibility of which of the following?

Select correct option:

- a. Parliament
- b. Supreme Court
- c. High Court
- d. Superior Judiciaries

15-Suppose due to hailstorm damages caused to crops that was insured against Insurance policy. The compensation received from an insurance company for damages caused by hailstorm.

What will be the tax treatment of such amount received?

- a) Income from Business
- b) Exempt as Agriculture Income
- c) Income from Property
- d) Capital Gain

Reference (<http://www.scribd.com/doc/32116882/MF0003-Taxation-Management-Feb-10>)

16-Miss Sonia s total taxable income for the year 2009 is Rs. 240,000. Which of the following is the tax liability of Miss Sonia?

- a) Nil
- b) Rs. 500
- c) Rs. 1,000
- d) Rs. 1,500

Reference: where income of a woman taxpayer is covered by the clause, " rates of tax for salaried Individuals for tax year 2009" no tax shall be charged if the taxable income does not exceed Rs. 240,000.

17-As part of remuneration package, a company provides for reimbursement of telephone costs on actual basis to its employees in case the facility is used for official purposes only, what are the tax consequences of this policy?

- a) Treated as taxable
- b) No tax consequences
- c) Partially taxable
- d) Not discussed in Income Tax Ordinance 2001